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Software Snippets | Europe

Private Equity Putting Software on Notice?

Important events in the world of Software & Services in the week ahead, and key MS research / stories from the past week.

Key Takeaways

- Silver Lake reportedly in talks to acquire US enterprise software giant Workday
- MS poll suggests investors expect rising price action dispersion
- Open-Weight Models: Pricing, adoption, and ROIC dynamics
- Netcompany Group: Standout Growth, but Earnings Quality Debates to Persist
- Cursor Deep Dive: Can SpaceX Leap to the AI Frontier?

1) Silver Lake reportedly in talks to acquire US enterprise software giant

Workday: Software stocks saw an end-of-week rally after [Reuters reported](#) private equity (PE) giant Silver Lake was in talks to acquire Workday (covered by Adam Wood). There have been few software take-private deals by PE this year, as we think tight credit conditions and AI debates stunted deal-making confidence. In Europe, the late-July c. £0.5bn approach for UK-listed Pinewood Technologies Group by US-based Ridgeview Partners is the main recent announcement. However, should a deal be announced, Workday would represent a much stronger message from PE; at c. \$50bn market cap, it is one of the largest global enterprise vendors, specialising in human capital management and financial management software. Head of US Software, [Adam Wood notes](#), *"This report could also inspire more potential acquirers, especially financial sponsors, to regain their confidence in software investing, which could put upward pressure on software stocks as shorts retreat and the market realizes these businesses have gotten too cheap for their future value. On the other hand, assuming a 30-40% premium to the unaffected price, in-line with historical software transactions, would imply only a potential take out multiple of ~5X CY27 Sales and ~16X CY27 FCF, both discounts to the historical averages."* Neither Silver Lake nor Workday has commented, and we have no independent knowledge of a potential transaction.

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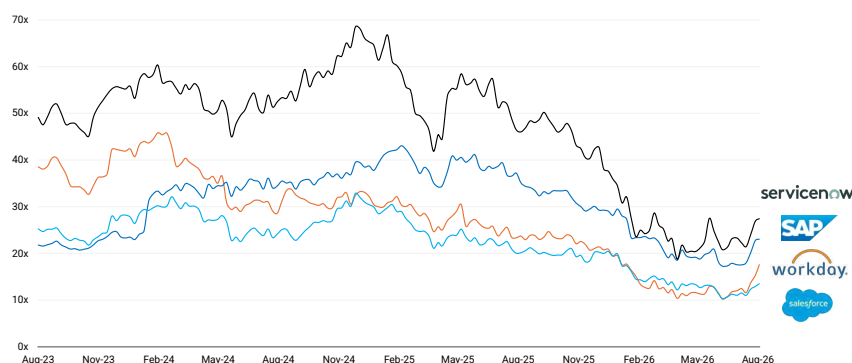
TECHNOLOGY - SOFTWARE & SERVICES

Europe	
Industry View	In-Line

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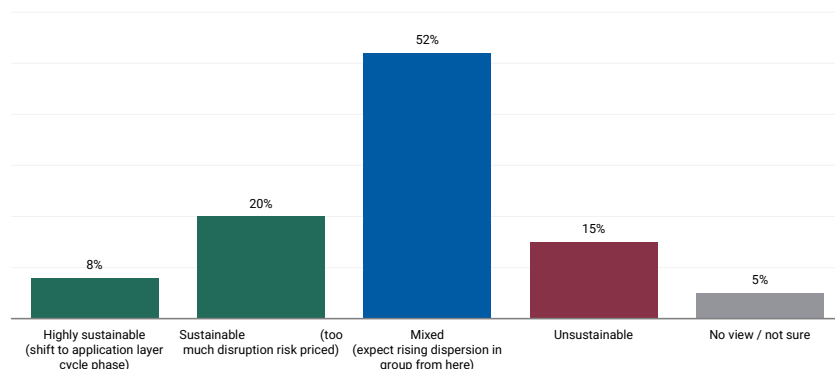
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Exhibit 1: Workday, SAP, ServiceNow, and Salesforce NTM adj. P/E over time

Note: Prices at close on 13/08/2026. Source: Factset, Morgan Stanley Research

2) MS poll suggests investors expect rising price action dispersion: As part of a multi-sector MS webcast this week around 'Buying the AI Dip', Chief European Equity Strategist Marina Zavolock polled >150 investors across a range of questions. With regards to our coverage, the key question asked investors to answer the end of the statement, *'I believe the recent rally in formerly 'disrupted' areas of the market like Software & Business Services is...'*. Answer options effectively evaluated the perceived sustainability of the recent rally higher in these areas of the market. The most common response was that investors have a mixed view, expecting rising dispersion in the stock group from here (52% of respondents). Notably though, nearly twice as many respondents viewed the rally as sustainable (c. 28%) vs unsustainable (c. 15%). [See the full investor polling here.](#)

Exhibit 2: Question: I believe the recent rally in formerly 'disrupted' areas of the market like Software & Business Services is...



Note: Survey respondent base size = 114 (includes replay), survey conducted on 11 August 2026; Source: Morgan Stanley Research

3) Open-Weight Models: Pricing, adoption, and ROIC dynamics: With open-weight models, users take possession of the weights, meaning they are 1) free to download by any end user (rather than gated behind a subscription/closed API), 2) able to be fine-tuned/re-trained on a user's proprietary data (vs. closed models served identically to everyone), and 3) deployable where the user chooses (on-prem, in the cloud, or via API). Stephen Byrd (Global Head of Thematic and Sustainability Research) writes that *"the world is increasingly multi-model, with open-weight models starting to drive tangible ROI and save costs,"* although he sees the US/China model price differential as an important swing factor. Stephen notes that Chinese

model prices are beginning to rise as providers focus more on monetisation, while US providers are continuing to bring down prices, particularly at the lower and middle tiers. His view is that greater segmentation is helpful, where cheaper models can support high-volume or relatively simple tasks, while premium models remain relevant for more complex enterprise workflows. [See Stephen's full note here.](#)

Separately, Brian Nowak (Head of US Internet Research) evaluated how open-weight models could impact GenAI ROIC for the hyperscalers. He expects open weights to put pressure on token pricing, but his analysis indicates that hyperscalers can still generate approximately c. 20-60% ROIC under lower-price assumptions (on 1GW of owned GB300). [See Brian's full note here.](#)

4) Netcompany Group: Standout Growth, but Earnings Quality Debates to Persist (#Netcompany):

We remained Underweight on Danish IT Services group, Netcompany, after it released its 2Q26 results. Top-line performance exceeded our expectations, with c. 17% organic revenue growth significantly outperforming the broader industry. However, we focus more at this stage on earnings quality, which we think has deteriorated, in part due to one-time items relating to the acquisition and integration of Netcompany Banking Services, but also a new c. DKK 149m restructuring provision booked in 2Q. Free cash flow has been notably weak in FY25 and 1H26, with the past 6-quarters' FCF accumulating to DKK -192m, versus our adjusted net income figure of DKK +935m. While we think this is mainly timing-related due to certain projects around the EU and Greece, building confidence in a turnaround of free cash flow in 2H26 and beyond is key to rule out more project-delivery related reasons. For now, despite the better revenue performance, the weaker 2Q adj. EBITDA margin and FCF result is likely to inhibit investor confidence and scope for the stock to re-rate higher, particularly given the gap between our new forecast FY26 FCF multiple (c. 49x as of Thursday's close) and FY27 (c. 19x). Although we see modest upside risk to the FY26 revenue growth guidance, we are at the low-end of the adj. EBITDA margin guidance, and reduced our FCF forecast for the year by over 60% in our model update. [See our full note here.](#)

5) Cursor Deep Dive: Can SpaceX Leap to the AI Frontier? Adam Jonas (Global Embodied AI/Robotics Strategist) delves into SpaceX's announced \$60bn (all-stock) acquisition of Cursor. Cursor serves as a model-flexible workflow layer, or "harness", for AI-assisted software development, routing coding tasks between third-party frontier LLMs and its own Composer models. The company says the platform is used by more than 50,000 enterprises, including over 64% of the Fortune 500, and Adam sees Cursor's ARR rising to \$8bn by the end of the year, and c. \$33bn by 2030. Adam writes: *"As code generation becomes more commoditized, we think value may accrue to the layer that owns the data and deployment, which is where Cursor sits today. Over time that could support products beyond the editor, such as charging for work delivered rather than seats sold, unattended code maintenance, or a hosted platform for others' tools. In the combined SpaceX enterprise platform, Grok provides the intelligence layer, X the real time data, SpaceXAI compute the infrastructure, Starlink the connectivity across global agents, and through partnerships with Tesla a path into physical AI, with space a scale accelerant over time. Our \$33bn 2030 Cursor ARR estimate does not assume any of this."* [See Adam's full note here.](#)

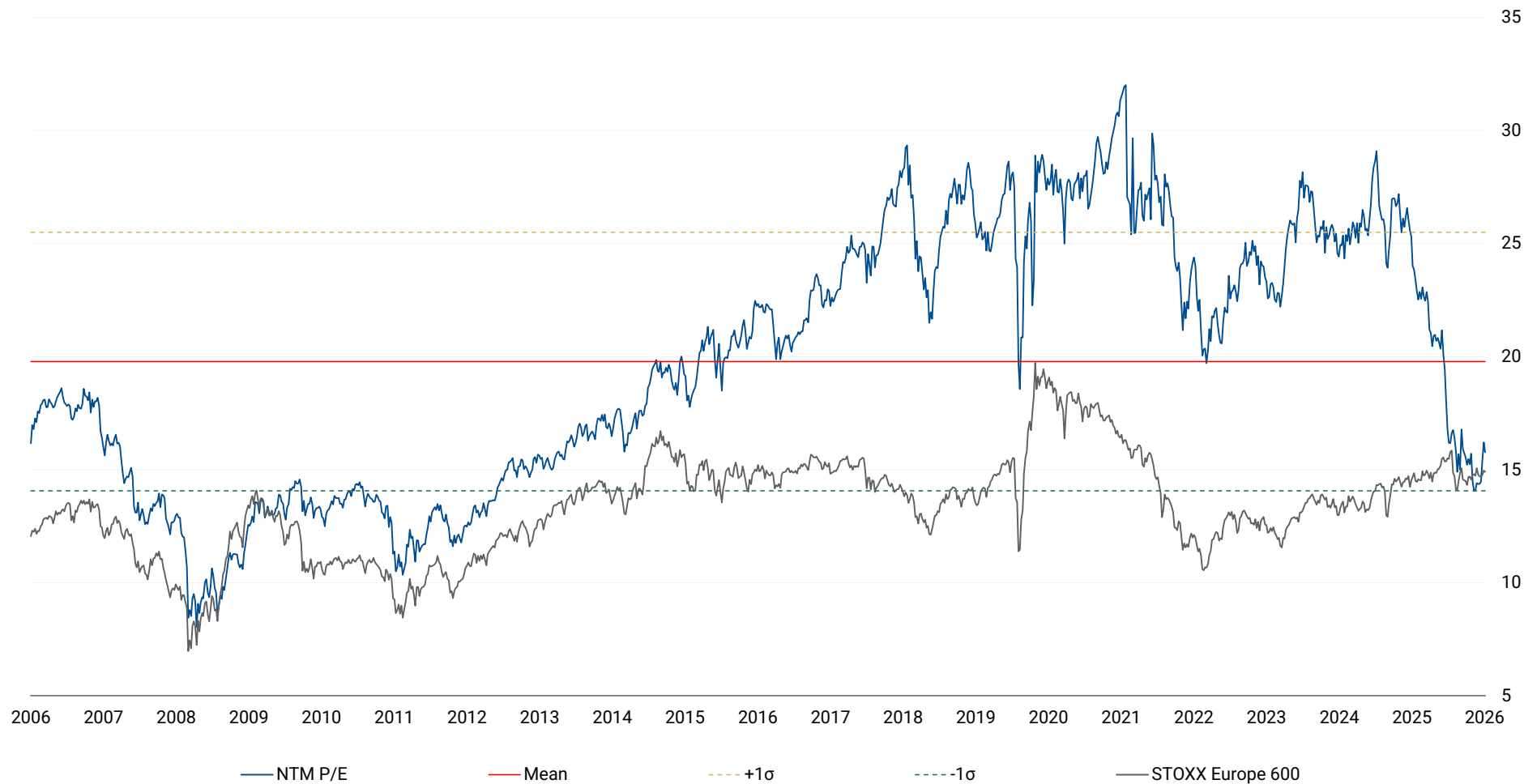
Exhibit 3: Key week ahead events

Monday 17/08/2026	Tuesday 18/08/2026	Wednesday 19/08/2026	Thursday 20/08/2026	Friday 21/08/2026
		Jack Henry 4Q26 Results		
Key	■ MS Europe Coverage	■ Other Global Stocks	■ Industry Event	■ Other

Source: Morgan Stanley Research

Coverage Valuation vs. European Market

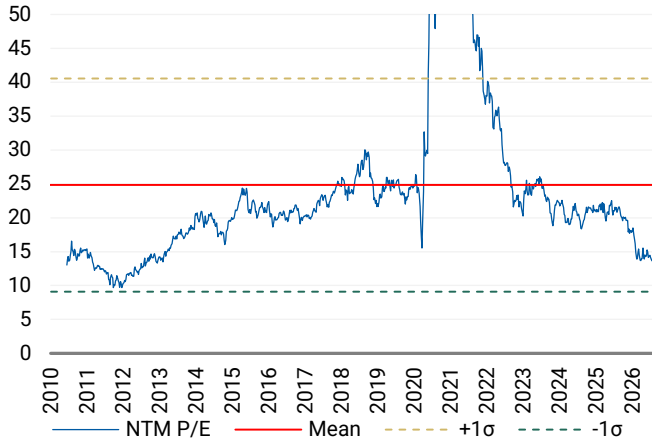
Exhibit 4: European Software & Services NTM P/E vs STOXX Europe 600



NB: Mean of CAP, DSY, INF, NEM, REL, SGE, SAP, TEMN, TIETO, and WKL. Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

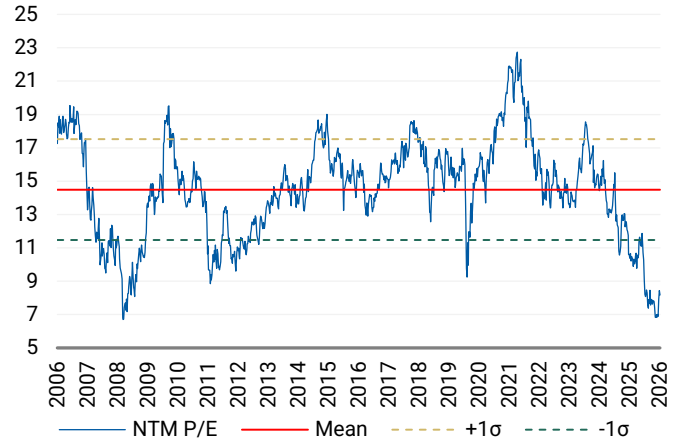
Long-Term Valuation Charts

Exhibit 5: Amadeus P/NTM Earnings



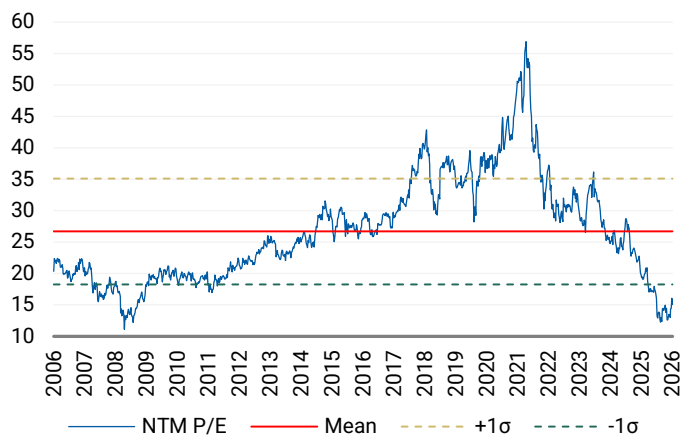
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 6: Capgemini P/NTM Earnings



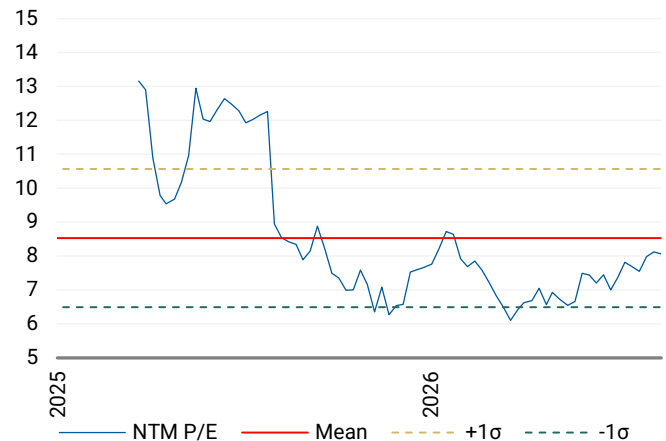
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 7: Dassault Systemes P/NTM Earnings



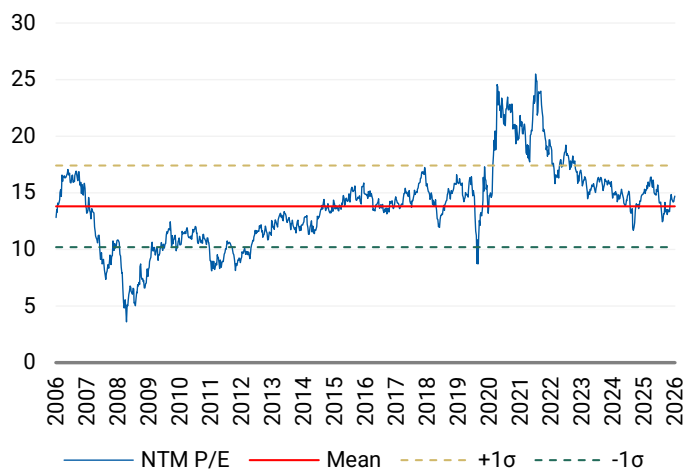
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 8: HBX Group International P/NTM Earnings



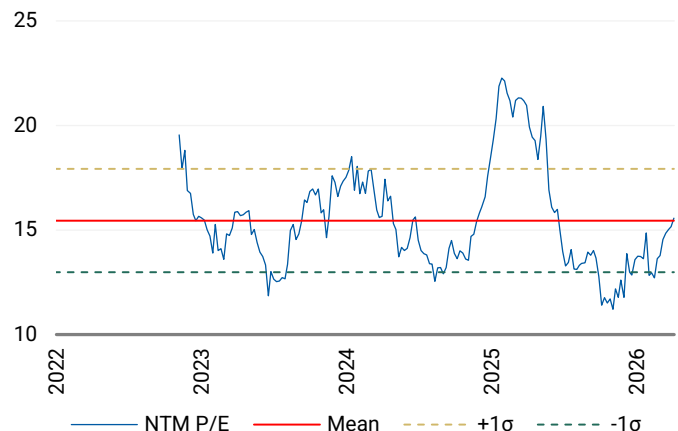
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 9: Informa P/NTM Earnings



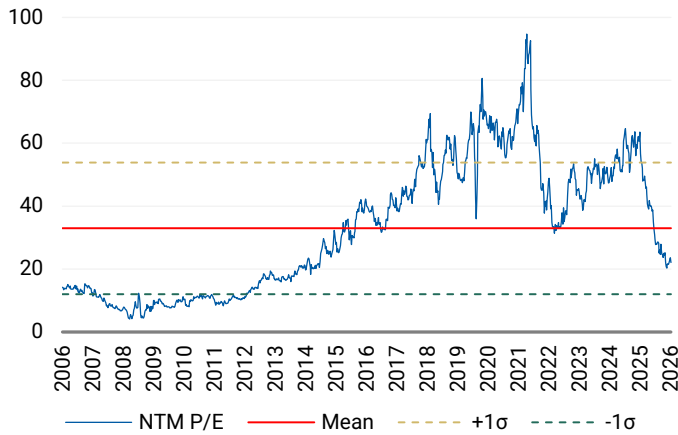
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 10: IONOS P/NTM Earnings



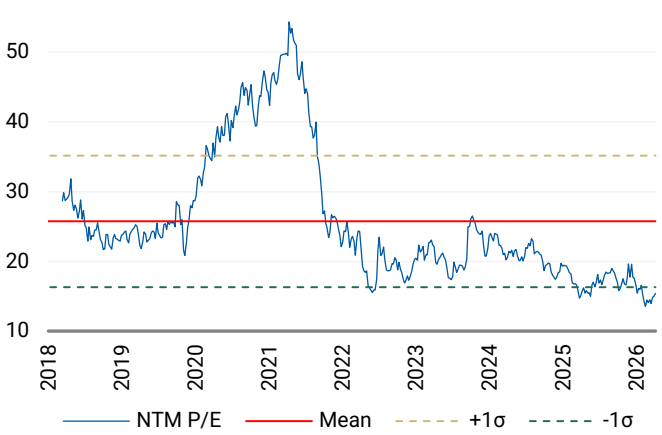
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 11: Nemetschek Group P/NTM Earnings



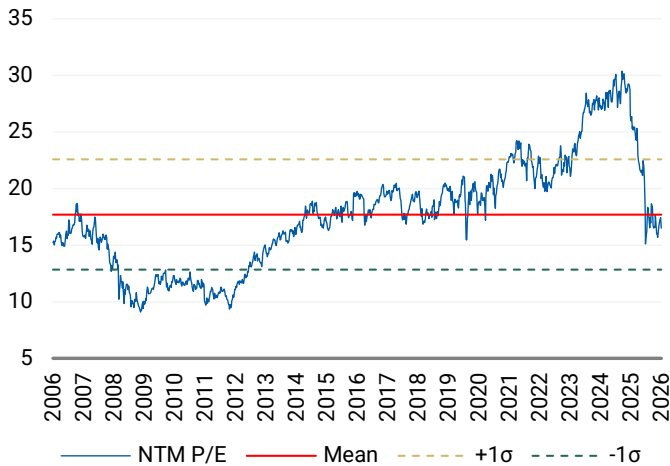
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 12: Netcompany P/NTM Earnings



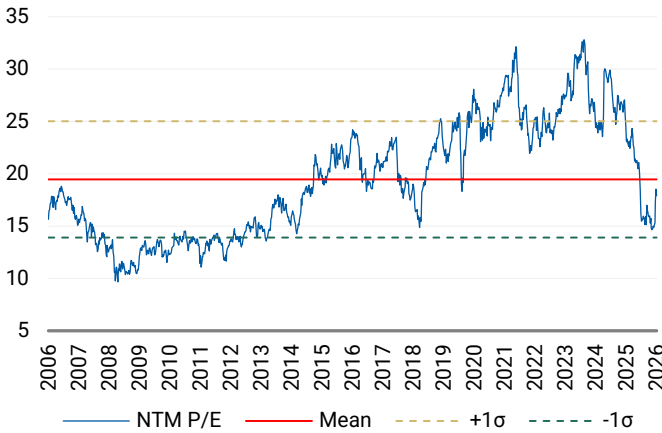
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 13: RELX P/NTM Earnings



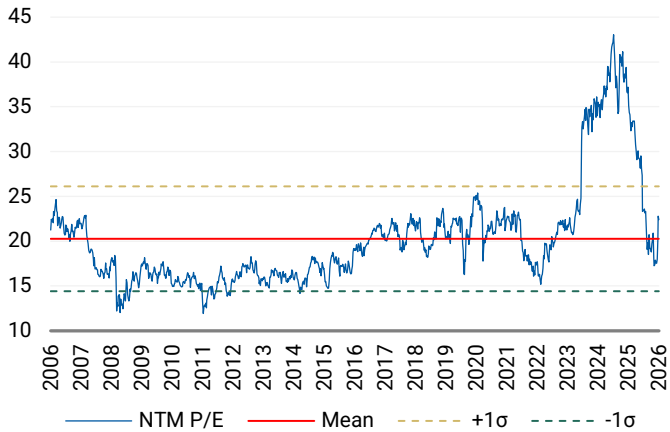
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 14: Sage Group P/NTM Earnings



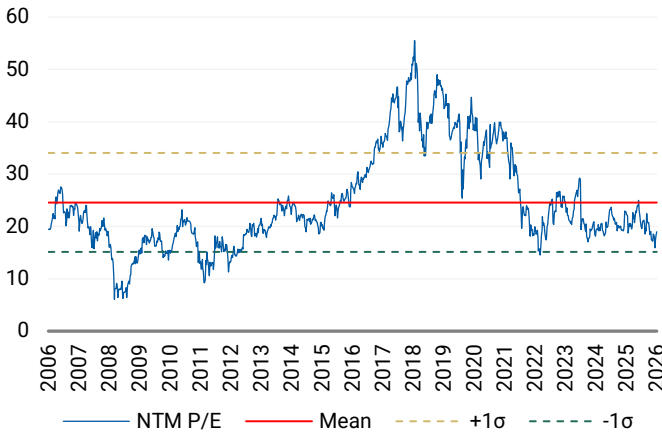
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 15: SAP P/NTM Earnings



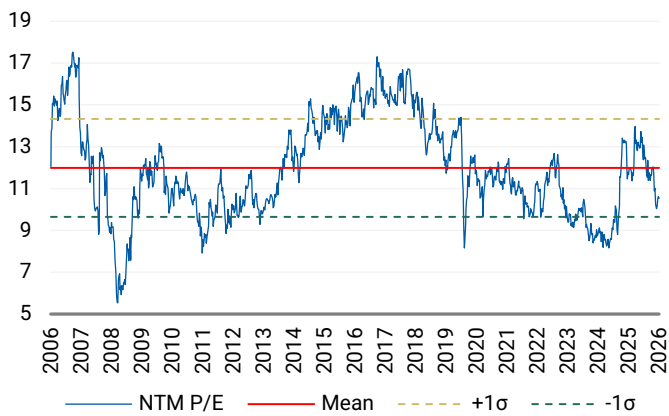
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 16: Temenos P/NTM Earnings



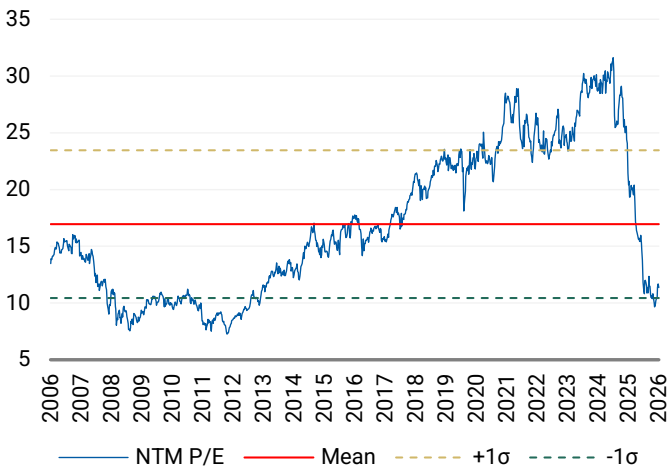
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 17: Tieto P/NTM Earnings



NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 18: Wolters Kluwer P/NTM Earnings



NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Coverage Company Guidance

Exhibit 19: Company Forward Guidance (1/2)

Published Company Guidance / Targets		
	FY26	Mid-term / Long-term
Amadeus	Mid to high single-digit revenue growth (in cc) Adj. EBIT margin stable at cc (FY25: 29.1%) Adj. diluted EPS growth at high single-digit to low double-digit FCF between €1.35-1.45 billion	Over 2026-2028: High single digit annual revenue growth (in cc) Adj. EBIT margin expansion over the period Adj. diluted EPS growth CAGR at low double-digit FCF growth CAGR at high single digit
Capgemini	Revenue growth of +8.5 to 9.0% cc (inorganic c. 5pts; organic c. 3.5 to 4%, MSe) Operating margin of 13.6% to 13.8% Organic FCF of €1.8 to 1.9bn	2028 financial ambitions: 2025-28 revenue CAGR at cc of +5.5-7.5% (c. +3.5-5.5% organic) Operating Profit pre-acquisition expense to reach 12.1-12.3% of revenue (c. 130-150bps expansion vs 2025) Cumulative organic FCF >€6bn over 2026-28
Dassault Systemes	Total revenue growth between 3 to 5% (cc) Software revenue growth 3 to 5% (cc) Services revenue growth of 2 to 6% (cc) Adj. EBIT margin guidance is 32.2 to 32.6% EPS €1.30 to 1.34	Basic 2029 EPS of €2.4
HBX Group International	+13 to +15% YoY growth in TTV -2% to flat YoY revenue growth -5 to -2% adj. EBITDA growth c. 90 to 100% operating FCF conversion	Low-double digit TTV annual growth High-single digit revenue growth Low sixties adj. EBITDA margin % c. 100% cash conversion
Informa	6%± underlying revenue growth 7%+ B2B Events underlying revenue growth 4%± Taylor & Francis underlying revenue growth Return to revenue growth for TechTarget Underlying double-digit growth in adj. EPS	5%+ underlying revenue growth p.a. out to FY28
IONOS Group	Group: c. 8% cc revenue growth with c. €530m of adj. EBITDA (c. 37-38% margin) Web Presence & Productivity: c. 8% cc revenue growth Cloud Solutions: 10-15% cc revenue growth	Total revenue growth (CAGR) c. 10% Web Presence & Productivity revenue growth (CAGR) c. 9% Cloud Solutions revenue growth (CAGR) c. 20% Adj. EBITDA margin c. 40% Capex (% of revenue) c. 6%
Nemetschek Group	14-15% constant currency organic revenue growth 32-33% adj. EBITDA margin (reported) HCSS (from 1 Jul '26): +c.600bps to reported revenue growth (incl. PPA); c.150bps EBITDA margin dilution vs guidance midpoint	None
Netcompany Group	Group revenue growth of 16-20% y/y (in CC), 6.5-10.5% excluding NBS Adj. EBITDA margin of 16-19%, 17-20% excluding NBS	Long-term: Annual organic revenue growth of 5-10% "through any business cycle" Adj. EBITDA margins >20% by (in) FY29
RELX	"We continue to see positive momentum across the group, and we expect another year of strong underlying growth in revenue and adjusted operating profit, as well as strong growth in adjusted earnings per share on a constant currency basis". Buybacks of £2,250m	Risk: "Sustain strong long-term growth profile" STM: "Continue on improving growth trajectory" Legal: "Continue on improving growth trajectory" Exhibitions: "Sustain strong long-term growth profile"

Source: Company data, compiled by Morgan Stanley Research

Exhibit 20: Company Forward Guidance (2/2)

Published Company Guidance / Targets		
	FY26	Mid-term / Long-term
Sage Group	Organic total revenue growth in FY26 to be above 9% Operating margins are expected to trend upwards in FY26 and beyond	<i>None</i>
SAP	Cloud revenue of €25.8-26.2bn at cc (23% to 25% cc growth). Cloud and software revenue of €36.3-36.8bn at cc (12%-13% cc growth). Non-IFRS operating profit of €11.8-12.2bn (13-17% cc growth). Free cash flow c. €10bn	Expect total revenue growth to accelerate in 2027. Total operating expenses are expected to grow at 80 to 90% of total revenue growth in 2027.
Temenos	ARR growth of c. 12% Subscription and SaaS growth of c. 9% EBIT growth c. 9% FCF growth c. 16% (reported)	Mid-term (FY28): ARR to reach >\$1.23bn Non-IFRS EBIT of c. \$480m FCF of c. \$410m
Tieto	Organic growth of -5% to -3% and Adj. EBITA margins of 14.8 to 15.8%	Revenue growth of over 5% CAGR in 2027-2028 EBITA margins of over 16% by 2028
Wolters Kluwer	Good organic revenue growth Adj. EBIT margin: c. 28% Diluted adj. EPS growth (% , cc): High single digit growth Adj. FCF (EUR, cc): €1,300m to €1,350m	<i>None</i>

Source: Company data, compiled by Morgan Stanley Research

Appendix: MS European Software & Services Coverage

Exhibit 21: Coverage Summary

Company	Analyst	Rating	Price Target		Software & Services		
Amadeus	George Webb	Overweight	EUR	65.00	amadeus	HEXAGON	DASSAULT SYSTEMES
Capgemini	George Webb	Equal-weight	EUR	117.00	Sage	SAP	NEMETSCHEK GROUP
Dassault Systemes	George Webb	Equal-weight	EUR	22.00	temenos	Netcompany	HBX GROUP
HBX Group International	Mark Hyatt	Equal-weight	EUR	8.10	Capgemini	IONOS	RELX
Hexagon AB	George Webb	N/A	N/A	N/A	informa	Wolters Kluwer	tieto
Informa	George Webb	Overweight	GBp	1,085			
IONOS Group	George Webb	Overweight	EUR	38.75			
Nemetschek Group	George Webb	Equal-weight	EUR	74.25			
Netcompany	George Webb	Underweight	DKK	309.00			
RELX	George Webb	Equal-weight	GBp	2,990.00			
Sage Group	George Webb	Overweight	GBp	1,140.00			
SAP	Adam Wood	Overweight	EUR	190.00			
Temenos	Mark Hyatt	Underweight	CHF	59.00			
Tieto	Mark Hyatt	Underweight	EUR	15.80			
Wolters Kluwer	George Webb	Equal-weight	EUR	80.50			

Source: Morgan Stanley Research

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(as of July 31, 2026)

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buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/14/2026)
Adam Wood		
SAP SE (SAP.N)	O (02/20/2026)	US\$209.28
SAP SE (SAPG.DE)	O (03/20/2020)	€180.14
George W Webb		
Amadeus IT Holdings S.A. (AMA.MC)	O (04/10/2026)	€57.40
Capgemini (CAPP.PA)	E (02/19/2026)	€108.30
Dassault Systemes SA (DAST.PA)	E (03/17/2026)	€21.68
Hexagon AB (HEXAB.ST)		SKr 95.20
IONOS Group SE (IOSN.DE)	O (08/07/2026)	€33.34
Nemetschek SE (NEKG.DE)	E (07/13/2022)	€61.75
Netcompany Group A/S (NETCG.CO)	U (01/12/2026)	DKr 336.40
Sage (SGE.L)	O (12/08/2021)	1,061p
Mark Hyatt		
HBX Group International PLC (HBX.MC)	E (04/17/2026)	€7.88
Temenos Group AG (TEMN.S)	U (12/15/2017)	SFr 74.60
Tieto Oyj (TIETO.HE)	U (01/12/2026)	€19.08

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